

I measured performance of Fibonacci-based patterns differently than I do other chart pattern types. That's because we're looking for a reversal at the end of the pattern and not an up or down breakout. Therefore, the layout of this chapter is different from most other chapters in this book. Only compare these results with other Fibonacci patterns.

Of the five bullish Fibonacci-based patterns I looked at, the bullish Gartley in bull markets is the worst performer. The breakeven failure rate in both bull and bear markets for this pattern ranks last (worst).

The reversal rate is very good, though, at 86% to 90% of the time. That means if you expect price to turn at the end of the pattern, there's a very good chance it will.

To get a complete picture, let's see what a bullish Gartley looks like and discuss some numbers.

Tour

[Figure 38.1](#) shows an example of a bullish Gartley that works like it's supposed to. The pattern begins at X, which some describe as a major turn. My collection of Gartleys accepted any wide minor low as the first turn. Following X is a peak, a minor high, shown as point A. Both X and A are consecutive but not necessarily adjacent turns. However, as the chart shows, there can be intervening peaks or valleys between the two. Point B is located at a Fibonacci retrace of the XA rise (I'll explain what that means in the next section).

Additional turns follow (C and D), with each turn determined by a Fibonacci number. Let me say that the actual Fibonacci numbers used is open to interpretation. I've seen numbers different from the ones I chose. Your software may use a different algorithm to find Gartleys, so keep that in mind. They may perform better ... or worse.

After price bottoms at D, it's supposed to move higher, which it does in this case by laying down a straight-line run to E. Notice how peak E appears at overhead resistance set up by peak A. In this example, the stock retraces some, but eventually stages an upward breakout when price closes above the top of the pattern at F.